

AQA

GCSE ECONOMICS 8136/2

Paper 2 How the Economy Works

Mark scheme

Predicted Paper – Moderate

Version: 1.0 Final

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

No student should be disadvantaged on the basis of their gender identity and/or how they refer to the gender identity of others in their exam responses.

A consistent use of 'they/them' as a singular and pronouns beyond 'she/her' or 'he/him' will be credited in exam responses in line with existing mark scheme criteria.

Further copies of this mark scheme are available from aqa.org.uk

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

KEY LIST

01	C – Increased borrowing	06	C – Store of value
02	C – Income tax	07	C – Increased UK imports from the Eurozone
03	B – Richer households pay a higher proportion of their income in tax	08	B – £120
04	D – An increase in wages across the economy	09	B – A coal miner made redundant when pits close permanently
05	A – Achieving low and stable inflation	10	B – Decrease, Increase

Qu	Part	Marking guidance	Total marks
11		State two examples of direct taxes used in the UK.	2
AO1a = 2 Possible answers include: • income tax • National Insurance contributions (NICs) • corporation tax • capital gains tax • inheritance tax • council tax (accept as a direct tax) One mark for each correct response. Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.			

Qu	Part	Marking guidance	Total marks
12		Explain what is meant by progressive taxation.	2

AO1 = 2

Marks	Description
2	Complete explanation of progressive taxation.
1	Partial explanation of progressive taxation.
0	Nothing written worthy of credit.

Possible answers include:

- richer households pay a higher proportion of their income in tax (2 marks)

- richer households pay more tax (1 mark)

Examples can be used to support an answer but, alone, do not constitute understanding.

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
13		Explain one function of money.	2

AO1 = 2

Marks	Description
2	Complete explanation of one function of money.
1	Partial explanation of one function of money.
0	Nothing written worthy of credit.

Possible answers include:

- medium of exchange – money is accepted in exchange for goods and services, removing the need for barter
- store of value – money retains its value so it can be saved and used to buy goods in the future
- unit of account – money provides a common measure for valuing and comparing different goods and services
- means of deferred payment – money allows transactions to take place now and be paid for later (e.g. credit)

Award marks for one function only – if more than one is explained, then award the best one.

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
14	1	Using Table 1, calculate the annual inflation rate at December 2022 to one decimal place.	2
AO2 = 2 Answer: • $(109.2 - 100.0) / 100.0 \times 100$ (1) = 9.2% (2 marks) • answer not to 1 decimal place but otherwise correct (1 mark) • for correct workings but incorrect answer (1 mark) • award 2 marks for correct answer (9.2%) even if no workings are present.			

Qu	Part	Marking guidance	Total marks
14	2	Explain one problem caused by high inflation for consumers.	2

AO1 = 2

Marks	Description
2	Complete explanation of one problem of high inflation for consumers.
1	Partial explanation of one problem of high inflation for consumers.
0	Nothing written worthy of credit.

Possible answers include:

- fall in real incomes/purchasing power – wages do not rise as fast as prices
- reduced value of savings – savings are worth less in real terms
- uncertainty – makes budgeting and financial planning harder
- higher cost of living – essentials become more expensive

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
15		Using Figure 1, analyse how an increase in interest rates by the Bank of England can affect the UK economy.	6

AO2 = 2, AO3 = 4

Level	Marks	Description
3	5–6	A full analysis of the economic evidence, a well-developed and logical chain of reasoning.
2	3–4	An incomplete analysis of the economic evidence, starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context.
1	1–2	Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context.
0	0	Nothing written worthy of credit.

Possible answers include:

- Higher interest rates increase the cost of borrowing for households and businesses, reducing consumer spending and investment.
- Higher interest rates reward saving more, encouraging households to save rather than spend.
- Reduced aggregate demand can help reduce demand-pull inflation, meeting the Bank of England's 2% target.
- Higher interest rates make the UK a more attractive destination for foreign investment, causing the pound to appreciate.
- An appreciating pound makes imports cheaper and exports more expensive, potentially worsening the current account.
- Higher interest rates can reduce economic growth and raise unemployment in interest-sensitive sectors such as construction.
- Mortgage costs rise, reducing disposable income for homeowners with variable-rate loans.

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
16		State two supply-side policies that could be used by the UK government.	2
AO1a = 2 Possible answers include: • investment in education and training • cuts in income tax (to improve work incentives) • cuts in corporation tax (to encourage investment) • reductions in trade union power • privatisation of state-owned industries • reductions in unemployment benefits • deregulation • investment in infrastructure One mark for each correct response. Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.			

Qu	Part	Marking guidance	Total marks
17		Explain one benefit of economic growth for a country.	2

AO1 = 2

Marks	Description
2	Complete explanation of one benefit of economic growth.
1	Partial explanation of one benefit of economic growth.
0	Nothing written worthy of credit.

Possible answers include:

- higher living standards – increased real incomes allow consumption of more goods and services
- higher tax revenue – allows greater government spending on public services
- lower unemployment – more output typically requires more workers
- reduced poverty – economic growth can raise incomes of the poorest

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
18		Explain one role of a commercial bank.	2

AO1 = 2

Marks	Description
2	Role of a commercial bank is explained.
1	Role of a commercial bank is identified.
0	Nothing written worthy of credit.

Possible answers include:

- accepting deposits from savers, providing a secure place to store money
- lending money to individuals and businesses (providing loans/mortgages/overdrafts)
- facilitating electronic payments between customers (current accounts/debit cards)
- providing financial services such as foreign exchange and investment products

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
19	1	Using Table 2, calculate the percentage change in unemployment between 2022 and 2023 to one decimal place.	2
AO2 = 2 Answer: • $(1.42 - 1.35) / 1.35 \times 100 = 5.185... \approx 5.2\%$ (2 marks) • answer not to 1 decimal place but otherwise correct, e.g. 5% (1 mark) • for correct workings but incorrect answer (1 mark) • award 2 marks for correct answer (5.2%) even if no workings are present.			

Qu	Part	Marking guidance	Total marks
19	2	Explain one cost of unemployment for an individual.	2

AO1 = 2

Marks	Description
2	Complete explanation of one cost of unemployment for an individual.
1	Partial explanation of one cost of unemployment for an individual.
0	Nothing written worthy of credit.

Possible answers include:

- loss of income – leading to lower living standards
- loss of skills – skills deteriorate over time without use, making reemployment harder
- mental health problems – linked to depression, stress and anxiety
- social isolation – loss of workplace relationships and routine

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
20		On Figure 2, draw and label the effects on the exchange rate of increased UK exports to the United States.	3
AO2 = 3 Answer: • correct drawing of original equilibrium but no further adjustment (max 1 mark) • a rightward shift in demand for pounds with new equilibrium in addition to original equilibrium (max 2 marks) • a rightward shift in demand (2 marks) – fully labelled showing rise in exchange rate (3 marks) • no further marks for any shift in supply, even if labelled demand. Note: The answer could use numbers or letters on each axis when plotting equilibria – either approach is fine, although something must appear on both axes for 3 marks.			

Qu	Part	Marking guidance	Total marks
21		Using Figure 3, assess whether the UK government should always aim for the lowest possible level of unemployment as an objective for the UK economy.	9

AO2 = 3, AO3 = 6

Level	Marks	Description
3	7–9	A fully justified conclusion with sustained evaluation, which is coherent and relevant, with judgements supported by evidence. A full analysis of the economic evidence, a well-developed and logical chain of reasoning. Comprehensive application of knowledge and understanding of pertinent concepts/issues relevant to the context; specialist language used throughout.
2	4–6	A partially justified conclusion with an evaluation, which is mostly coherent and relevant; judgements may not be fully supported by evidence. An incomplete analysis of the economic evidence; starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context; specialist language used mostly appropriately.
1	1–3	A basic conclusion or assertion may be present based on evaluative judgements supported by little or no evidence. Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context; may use non-specialist language.
0	0	Nothing written worthy of credit.

Possible answers:

Reasons for aiming for lowest possible unemployment:

- higher incomes and living standards for individuals
- higher tax revenue and lower welfare spending (improving budget position)
- reduced social problems linked to unemployment (crime, mental health)
- fuller use of available resources, closer to productive potential

Reasons against aiming for lowest possible unemployment:

- risk of demand-pull inflation as labour becomes scarce
- wage pressure raising firms' costs, risking cost-push inflation

- some unemployment is frictional/natural and cannot be eliminated without causing inflation
- trade-offs with other objectives (balance of payments, inflation)
- policies to reduce unemployment can increase the budget deficit

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
22		Define the term 'direct tax'.	2

AO1 = 2

Marks	Description
2	Complete definition of a direct tax.
1	Partial definition of a direct tax.
0	Nothing written worthy of credit.

Possible answers include:

- a tax paid directly to the government on income, wealth or profits by the person or organisation on whom the tax is levied (2 marks)
- a tax on income/a tax that individuals pay (1 mark)

Qu	Part	Marking guidance	Total marks
23		Using Table 3 in Item A, calculate the percentage of total tax revenue (from the four sources shown) that comes from income tax. Give your answer to one decimal place.	3

AO2 = 3

Answer:

- total = $249 + 178 + 160 + 85 = 672$ (£ billion) (1 mark)
- $249 / 672 \times 100 = 37.05...$ (1 mark)
- = 37.1% (1 mark)
- award full 3 marks for correct final answer (37.1%) even if workings not fully shown.
- award 2 marks for correct workings with an incorrect final figure.
- award 1 mark for calculating total tax revenue correctly only.

Qu	Part	Marking guidance	Total marks
24		Using Item A, explain two ways the UK government could use taxation to achieve its economic objectives.	6

AO2 = 6

Apply grid twice:

Marks	Description
3	A full and precise explanation applying economic concepts and issues.
2	A partial explanation applying economic concepts and issues but lacking detail.
1	Fragmented points made.
0	Nothing written worthy of credit.

Possible answers include:

- increasing progressive direct taxes such as income tax to reduce income inequality
- cutting income tax rates to increase disposable income, boost spending and reduce unemployment
- using indirect taxes such as the sugar tax to discourage consumption of demerit goods
- cutting corporation tax to encourage business investment and economic growth
- raising taxes on polluting activities to reduce negative externalities and achieve environmental objectives
- raising taxes to reduce a budget deficit and improve the government's fiscal position

Apply grid twice (once for each policy).

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
25		Using Item B, analyse the possible consequences of increased globalisation for UK consumers.	6

AO2 = 2, AO3 = 4

Level	Marks	Description
3	5–6	A full analysis of the economic evidence, a well-developed and logical chain of reasoning.
2	3–4	An incomplete analysis of the economic evidence, starts to develop a chain of reasoning. Good application of knowledge and understanding of concepts/issues mostly relevant to the context.
1	1–2	Analysis of discrete points of the economic evidence with no chain of reasoning attempted. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context.
0	0	Nothing written worthy of credit.

Possible answers include:

- access to a wider variety of goods from around the world, increasing consumer choice
- lower prices as production shifts to lower-cost countries, improving living standards
- UK consumers can benefit from advances in foreign technology
- however, loss of UK manufacturing jobs may cause unemployment, harming some consumers' incomes
- environmental costs of global trade (transport emissions) may affect consumer well-being
- potential ethical concerns over goods produced in exploitative conditions abroad

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.

Qu	Part	Marking guidance	Total marks
26		Using Item A and Item B and your own economic knowledge, discuss whether the UK government should use taxation as the main policy to reduce income inequality.	15

AO2 = 5, AO3 = 10

Level	Marks	Description
5	13–15	A justified conclusion with sustained evaluation, which is coherent and relevant, with judgements fully supported by evidence. Analysis of a relevant selection of the economic evidence, with a well-developed logical chain of reasoning. Comprehensive application of knowledge and understanding of pertinent concepts/issues relevant to the context; effective use of specialist language maintained throughout.
4	10–12	A partially justified conclusion with an evaluation, which is mostly coherent and relevant; judgements may not be fully supported by evidence. Analysis of a relevant selection of the economic evidence; a logical chain of reasoning is established but not fully developed. Strong application of knowledge and understanding of a broad range of concepts/issues relevant to the context; mostly effective use of specialist language throughout.
3	7–9	A partially justified conclusion with an evaluation, but not integrated in a coherent way; judgements are not fully supported by evidence. Analysis of a relevant selection of the economic evidence and starts to develop a chain of reasoning. Good application of knowledge and understanding of a broad range of concepts/issues relevant to the context; consistent use of specialist language but not always effective.
2	4–6	A basic conclusion is present based on simple evaluative judgements supported by little or no evidence. Analysis of a relevant selection of the economic evidence with no chain of reasoning attempted. Simple application of knowledge and understanding of a narrow range of concepts/issues relevant to the context; sporadic use of specialist language.
1	1–3	Evaluative judgements are simple with no conclusion present. Analysis of a limited selection of the economic evidence with no chain of reasoning attempted; selection of evidence may lack relevance. Basic application of knowledge and understanding of concepts/issues with limited relevance to the context; uses non-specialist language.
0	0	Nothing written worthy of credit.

Possible advantages of using taxation:

- progressive income tax reduces after-tax income inequality directly
- tax revenue funds welfare payments, education and healthcare that benefit the poor
- inheritance tax reduces wealth concentration across generations
- taxes on luxury goods shift burden onto higher-income groups

Possible disadvantages of using taxation:

- high income taxes may reduce work incentives
- high corporation taxes may deter investment and reduce jobs
- wealthy individuals/firms may relocate or engage in tax avoidance
- indirect taxes (VAT) are regressive and can worsen inequality
- tax alone may be insufficient – inequality is also caused by differences in education and productivity

Possible evaluation:

- depends on the type of tax used – progressive direct taxes are more effective than regressive indirect taxes
- depends on how tax revenue is spent – redistribution through welfare/education can enhance effectiveness
- alternatives such as the minimum wage, education policy, and benefits can also reduce inequality
- depends on the size of the tax changes – small changes may have limited effects
- short-term vs long-term effects (supply-side effects on incentives),
- may be more effective when combined with other policies

Note: This indicative content is not exhaustive, other creditworthy responses should be awarded marks as appropriate.